



Bill Number: S.B. 1236

Kavanagh SUBSTITUTE Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Requires AHCCCS to redetermine, on a quarterly basis, the eligibility of able-bodied adult members who are not American Indians or Alaska Natives.
2. Makes technical and conforming changes.

KAVANAGH SUBSTITUTE FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1236

I move the following SUBSTITUTE amendment to the HEALTH AND HUMAN SERVICES Committee Amendment to
SENATE BILL 1236 (Reference to printed bill)

Amendment instruction key:
[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, article 1, Arizona Revised
3 Statutes, is amended by adding sections 36-2903.18 and 36-2903.19, to
4 read:

5 36-2903.18. Data matching agreements; review of member
6 eligibility information; quarterly eligibility
7 redetermination; waiver requests

8 A. THE ADMINISTRATION SHALL ENTER INTO A DATA MATCHING AGREEMENT
9 WITH THE DEPARTMENT OF REVENUE TO IDENTIFY MEMBERS WHO HAVE LOTTERY OR
10 GAMBLING WINNINGS OF \$3,000 OR MORE. THE ADMINISTRATION SHALL REVIEW THIS
11 INFORMATION ON AT LEAST A MONTHLY BASIS. IF A MEMBER FAILS TO DISCLOSE
12 WINNINGS OF \$3,000 OR MORE AND IS IDENTIFIED THROUGH THE DATABASE MATCH,
13 THE ADMINISTRATION SHALL CONSIDER THE MEMBER'S FAILURE TO DISCLOSE THE
14 INFORMATION A VIOLATION OF THE SYSTEM'S TERMS OF ELIGIBILITY.

15 B. ON AT LEAST A MONTHLY BASIS, THE ADMINISTRATION SHALL[.]
16 1.] RECEIVE AND REVIEW DEATH RECORDS INFORMATION FROM THE
17 DEPARTMENT OF HEALTH SERVICES CONCERNING MEMBERS AND SHALL ADJUST SYSTEM
18 ELIGIBILITY ACCORDINGLY.

19 ~~[C. ON AT LEAST A QUARTERLY BASIS, THE ADMINISTRATION SHALL RECEIVE~~
20 ~~AND REVIEW INFORMATION FROM THE DEPARTMENT OF ECONOMIC SECURITY CONCERNING~~
21 ~~MEMBERS THAT INDICATES A CHANGE IN CIRCUMSTANCES THAT MAY AFFECT~~
22 ~~ELIGIBILITY, INCLUDING CHANGES TO UNEMPLOYMENT BENEFITS, EMPLOYMENT STATUS~~
23 ~~OR WAGES.~~

24 ~~D. ON AT LEAST A MONTHLY BASIS, THE ADMINISTRATION SHALL]~~

25 [2.] REVIEW INFORMATION CONCERNING MEMBERS THAT INDICATES A CHANGE
26 IN CIRCUMSTANCES THAT MAY AFFECT ELIGIBILITY, INCLUDING POTENTIAL CHANGES

1 IN RESIDENCY AS IDENTIFIED BY OUT-OF-STATE ELECTRONIC BENEFIT TRANSFER
2 CARD TRANSACTIONS.

3 ~~[F.]~~ [C.] ON ~~[AT LEAST]~~ A QUARTERLY BASIS, THE ADMINISTRATION
4 SHALL [REDETERMINE THE ELIGIBILITY OF ABLE-BODIED ADULTS WHO ARE ELIGIBLE
5 PURSUANT TO SECTION 36-2901, 36-2901.01 OR 36-2901.07 AND WHO ARE NOT
6 AMERICAN INDIANS OR ALASKAN NATIVES. FOR THE PURPOSES OF THE
7 REDETERMINATION PROCESS, THE ADMINISTRATION SHALL] RECEIVE AND REVIEW
8 INFORMATION FROM [BOTH:

9 1.] THE DEPARTMENT OF REVENUE CONCERNING MEMBERS THAT INDICATES A
10 CHANGE IN CIRCUMSTANCES THAT MAY AFFECT ELIGIBILITY FOR THE SYSTEM,
11 INCLUDING POTENTIAL CHANGES IN INCOME, WAGES OR RESIDENCY AS IDENTIFIED BY
12 TAX RECORDS.

13 [2. THE DEPARTMENT OF ECONOMIC SECURITY CONCERNING MEMBERS THAT
14 INDICATES A CHANGE IN CIRCUMSTANCES THAT MAY AFFECT ELIGIBILITY, INCLUDING
15 CHANGES TO UNEMPLOYMENT BENEFITS, EMPLOYMENT STATUS OR WAGES.]

16 ~~[F.]~~ [D.] UNLESS REQUIRED BY FEDERAL LAW, THE ADMINISTRATION MAY
17 NOT ACCEPT SELF-ATTESTATION OF INCOME, RESIDENCY, AGE, HOUSEHOLD
18 COMPOSITION, CARETAKER OR RELATIVE STATUS OR RECEIPT OF OTHER HEALTH
19 INSURANCE COVERAGE WITHOUT INDEPENDENT VERIFICATION BEFORE
20 ENROLLMENT. THE ADMINISTRATION MAY NOT REQUEST AUTHORITY TO WAIVE OR
21 DECLINE TO PERIODICALLY CHECK ANY AVAILABLE INCOME-RELATED DATA SOURCES TO
22 VERIFY ELIGIBILITY.

23 ~~[G.]~~ [E.] THE ADMINISTRATION MAY NOT ACCEPT ELIGIBILITY
24 DETERMINATIONS FOR THE SYSTEM FROM AN EXCHANGE ESTABLISHED PURSUANT TO 42
25 UNITED STATES CODE SECTION 18041(c). THE ADMINISTRATION MAY ACCEPT
26 ASSESSMENTS FROM AN EXCHANGE ESTABLISHED PURSUANT TO 42 UNITED STATES CODE
27 SECTION 18041(c) BUT SHALL INDEPENDENTLY VERIFY ELIGIBILITY AND MAKE
28 ELIGIBILITY DETERMINATIONS.

29 ~~[H.]~~ [F.] IF THE ADMINISTRATION RECEIVES INFORMATION CONCERNING A
30 MEMBER THAT INDICATES A CHANGE IN THE MEMBER'S CIRCUMSTANCES THAT MAY
31 AFFECT ELIGIBILITY, THE ADMINISTRATION SHALL REVIEW THE MEMBER'S
32 ELIGIBILITY.

33 ~~[I.]~~ [G.] THE ADMINISTRATION MAY EXECUTE A MEMORANDUM OF
34 UNDERSTANDING WITH ANY OTHER DEPARTMENT OF THIS STATE FOR INFORMATION
35 REQUIRED TO BE SHARED PURSUANT TO THIS SECTION. THE ADMINISTRATION MAY
36 CONTRACT WITH ONE OR MORE INDEPENDENT VENDORS TO PROVIDE ADDITIONAL DATA
37 OR INFORMATION THAT MAY INDICATE A CHANGE IN CIRCUMSTANCES AND AFFECT AN
38 INDIVIDUAL'S ELIGIBILITY.

39 ~~[J.]~~ [H.] ON OR BEFORE APRIL 1, 2027, THE ADMINISTRATION SHALL
40 SUBMIT TO THE CENTERS FOR MEDICARE AND MEDICAID SERVICES ANY WAIVER
41 REQUESTS NECESSARY TO IMPLEMENT THIS SECTION.

42 36-2903.19. Presumptive eligibility; limits; standards;
43 notification; training

44 A. THE ADMINISTRATION SHALL REQUEST APPROVAL FROM THE CENTERS FOR
45 MEDICARE AND MEDICAID SERVICES FOR A SECTION 1115 WAIVER TO ALLOW THE
46 ADMINISTRATION TO ELIMINATE MANDATORY HOSPITAL PRESUMPTIVE ELIGIBILITY AND
47 RESTRICT PRESUMPTIVE ELIGIBILITY DETERMINATIONS TO CHILDREN AND PREGNANT

1 WOMEN ELIGIBILITY GROUPS. IF APPROVAL FOR THE SECTION 1115 WAIVER IS
2 DENIED, THE ADMINISTRATION SHALL RESUBMIT A SUBSEQUENT REQUEST FOR
3 APPROVAL WITHIN TWELVE MONTHS AFTER EACH DENIAL.

4 B. UNLESS REQUIRED BY FEDERAL LAW, THE ADMINISTRATION MAY NOT
5 DESIGNATE ITSELF AS A QUALIFIED HEALTH ENTITY FOR THE PURPOSE OF MAKING
6 PRESUMPTIVE ELIGIBILITY DETERMINATIONS OR FOR ANY PURPOSE NOT EXPRESSLY
7 AUTHORIZED BY STATE LAW.

8 C. WHEN MAKING PRESUMPTIVE ELIGIBILITY DETERMINATIONS, A QUALIFIED
9 HOSPITAL SHALL DO ALL OF THE FOLLOWING:

10 1. NOTIFY THE ADMINISTRATION OF EACH PRESUMPTIVE ELIGIBILITY
11 DETERMINATION WITHIN FIVE WORKING DAYS AFTER THE DATE THE DETERMINATION IS
12 MADE.

13 2. ASSIST INDIVIDUALS WHO ARE DETERMINED PRESUMPTIVELY ELIGIBLE
14 UNDER THE SYSTEM WITH COMPLETING AND SUBMITTING A FULL APPLICATION FOR
15 SYSTEM ELIGIBILITY.

16 3. NOTIFY EACH APPLICANT IN WRITING AND ON ALL RELEVANT FORMS WITH
17 PLAIN LANGUAGE AND LARGE PRINT THAT IF THE APPLICANT DOES NOT FILE A FULL
18 APPLICATION FOR SYSTEM ELIGIBILITY WITH THE ADMINISTRATION BEFORE THE LAST
19 DAY OF THE FOLLOWING MONTH, PRESUMPTIVE ELIGIBILITY COVERAGE WILL END ON
20 THE LAST DAY OF THE FOLLOWING MONTH.

21 4. NOTIFY EACH APPLICANT THAT IF THE APPLICANT FILES A FULL
22 APPLICATION FOR SYSTEM ELIGIBILITY WITH THE ADMINISTRATION BEFORE THE LAST
23 DAY OF THE FOLLOWING MONTH, PRESUMPTIVE ELIGIBILITY COVERAGE WILL CONTINUE
24 UNTIL AN ELIGIBILITY DETERMINATION IS MADE ON THE APPLICATION THAT IS
25 FILED.

26 D. THE ADMINISTRATION SHALL APPLY THE FOLLOWING STANDARDS TO
27 ESTABLISH AND ENSURE THAT ACCURATE PRESUMPTIVE ELIGIBILITY DETERMINATIONS
28 ARE MADE BY EACH QUALIFIED HOSPITAL:

29 1. WHETHER THE QUALIFIED HOSPITAL SUBMITTED TO THE ADMINISTRATION
30 THE PRESUMPTIVE ELIGIBILITY CARD WITHIN FIVE WORKING DAYS AFTER THE
31 DETERMINATION DATE.

32 2. WHETHER A FULL APPLICATION FOR SYSTEM ELIGIBILITY WAS RECEIVED
33 BY THE ADMINISTRATION BEFORE THE EXPIRATION OF THE PRESUMPTIVE ELIGIBILITY
34 PERIOD.

35 3. IF A FULL APPLICATION WAS RECEIVED BY THE ADMINISTRATION,
36 WHETHER THE INDIVIDUAL WAS FOUND TO BE ELIGIBLE UNDER THE SYSTEM.

37 E. IF THE ADMINISTRATION DETERMINES THAT A QUALIFIED HOSPITAL FAILS
38 TO MEET ANY OF THE STANDARDS ESTABLISHED UNDER SUBSECTION D OF THIS
39 SECTION FOR ANY PRESUMPTIVE ELIGIBILITY DETERMINATION THAT THE QUALIFIED
40 HOSPITAL MADE, THE ADMINISTRATION SHALL NOTIFY THE QUALIFIED HOSPITAL IN
41 WRITING WITHIN FIVE DAYS AFTER THE DETERMINATION. THE NOTICE SHALL
42 INCLUDE:

43 1. FOR THE FIRST VIOLATION, BOTH OF THE FOLLOWING:

44 (a) A DESCRIPTION OF THE STANDARD THAT WAS NOT MET AND AN
45 EXPLANATION OF WHY IT WAS NOT MET.

1 (b) CONFIRMATION THAT A SECOND FINDING WILL REQUIRE THAT ALL
2 APPLICABLE HOSPITAL STAFF PARTICIPATE IN MANDATORY TRAINING BY THE
3 ADMINISTRATION ON HOSPITAL PRESUMPTIVE ELIGIBILITY RULES.
4 2. FOR THE SECOND VIOLATION, ALL OF THE FOLLOWING:
5 (a) A DESCRIPTION OF THE STANDARD THAT WAS NOT MET AND AN
6 EXPLANATION OF WHY IT WAS NOT MET.
7 (b) CONFIRMATION THAT ALL APPLICABLE HOSPITAL STAFF WILL BE
8 REQUIRED TO PARTICIPATE IN MANDATORY TRAINING BY THE ADMINISTRATION ON
9 HOSPITAL PRESUMPTIVE ELIGIBILITY RULES, INCLUDING THE DATE, TIME AND
10 LOCATION OF THE TRAINING AS DETERMINED BY THE ADMINISTRATION.
11 (c) A DESCRIPTION OF AVAILABLE APPEALS PROCEDURES BY WHICH A
12 QUALIFIED HOSPITAL MAY DISPUTE THE FINDING AND REMOVE THE FINDING FROM THE
13 QUALIFIED HOSPITAL'S RECORD BY PROVIDING CLEAR AND CONVINCING EVIDENCE
14 THAT THE STANDARD WAS MET.
15 (d) CONFIRMATION THAT IF THE QUALIFIED HOSPITAL SUBSEQUENTLY FAILS
16 TO MEET ANY STANDARD FOR PRESUMPTIVE ELIGIBILITY FOR ANY DETERMINATION,
17 THE QUALIFIED HOSPITAL WILL NO LONGER BE QUALIFIED TO MAKE PRESUMPTIVE
18 ELIGIBILITY DETERMINATIONS UNDER THE SYSTEM.
19 3. FOR THE THIRD VIOLATION, ALL OF THE FOLLOWING:
20 (a) A DESCRIPTION OF THE STANDARD THAT WAS NOT MET AND AN
21 EXPLANATION OF WHY IT WAS NOT MET.
22 (b) A DESCRIPTION OF AVAILABLE APPEALS PROCEDURES BY WHICH A
23 QUALIFIED HOSPITAL MAY DISPUTE THE FINDING AND REMOVE THE FINDING FROM THE
24 QUALIFIED HOSPITAL'S RECORD BY PROVIDING CLEAR AND CONVINCING EVIDENCE
25 THAT THE STANDARD WAS MET.
26 (c) CONFIRMATION THAT, EFFECTIVE IMMEDIATELY, THE QUALIFIED
27 HOSPITAL IS NO LONGER QUALIFIED TO MAKE PRESUMPTIVE ELIGIBILITY
28 DETERMINATIONS UNDER THE SYSTEM.
29 Sec. 2. Effective date
30 This act is effective from and after December 31, 2026.

31 Enroll and engross to conform
32 Amend title to conform

JOHN KAVANAGH

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